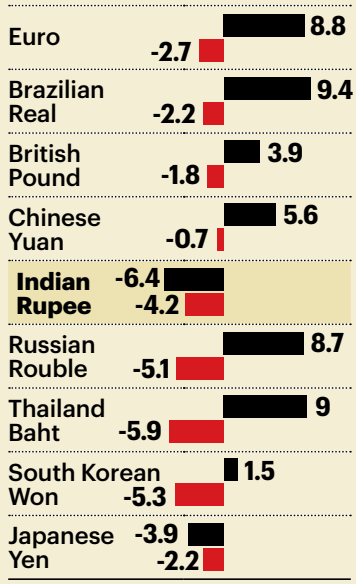
CURRENCY SHOCKWAVE

The rupee and yen had been falling against the dollar; others slid after the West Asia war



Sources: Bloomberg, SBI Research
(-) Depreciation; (+) Appreciation

For much of the past decade, India's monetary policy had been anchored in domestic cycles. Now, the pressures shaping the country's macroeconomic trajectory are increasingly external, driven by oil prices, currency movements and capital flows that respond as much to geopolitics as to fundamentals. The April 8 RBI decision reflects an adjustment to that shift, with the rupee at the frontline. For instance, every $10 rise in crude prices can add roughly 0.3-0.4 percentage points to inflation and widen the CAD by close to 0.4-0.5 per cent of GDP. Allow the currency to slide too quickly, and inflation risks escalate. Hold it artificially strong, and reserves begin to erode while export competitiveness suffers.

BALANCING ACT

What sets India apart at this moment is that the RBI is attempting a balance that few large economies are trying to maintain simultaneously. In Japan, the yen has weakened beyond 150 to the dollar, with policy makers largely tolerating depreciation to support exports and growth. In China, the yuan has been tightly managed within a narrow band, aided by capital controls and daily fixing mechanisms. In Europe, central banks have remained singularly focused on inflation, keeping policy rates elevated even as growth softens. India, by contrast, needs to manage currency volatility without exhausting reserves, contain inflation that is increasingly imported, and sustain growth that, while still strong by global standards, is moderating.

Malhotra acknowledged this balancing act, saying: "Our endeavour is to maintain a fine balance between growth and price stability." Pinaki Chakraborty, former director of the National Institute of Public Finance and Policy, says that given the fear of inflation and slower growth due to the emerging global crisis, the RBI has decided not to change the rate. Another economist, who did not wish to be named, points to a deeper shift, noting that the central bank is increasingly relying on "liquidity and forex management as the first line of defence", with the policy rate playing a more limited, signalling role. "Thankfully, the RBI has large foreign exchange reserves which give a sense of economic security to India. Those who always think the RBI is holding more reserves must rethink now," says Chakraborty.

Even before the West Asia war, the rupee was weakening due to higher dollar outflows from Foreign Portfolio Investors (FPIs), a widening trade deficit amid slowing export growth, and uncertainty over trade with the US after Trump's tariffs along with penalties for buying Russian oil. The war has aggravated the situation. The rupee has tumbled 8.2 per cent over the past year, making it Asia's worst-performing currency.

The war has pushed oil prices to their highest levels since the 2022 Ukraine conflict, triggered severe shortages of natural gas for commercial purposes and cooking fuel, and intensified risks after Iran targeted energy facilities in Gulf Cooperation Council (GCC) countries. Rising tensions have driven investors towards the safe-haven US dollar. FPIs pulled out Rs 1.14 lakh crore from Indian equities in March—the highest monthly outflow on record—amid West Asia tensions, a weakening rupee and high crude prices. On March 30, the benchmark BSE Sensex dropped 1,635.67 points, or 2.2 per cent. It remained volatile over the next few days before surging more than 2,900 points (4 per cent) on April 8, after the ceasefire announcement. Meanwhile, Brent crude dropped more than 14 per cent to $96.5 a barrel. Expensive oil would have had a cascading effect across sectors, driving up consumer prices.

For now, the rupee appears on firmer ground, but any further geopolitical uncertainty could send it tumbling down once again. ■

THE PRESSURES SHAPING INDIA'S MACROECONOMIC TRAJECTORY ARE INCREASINGLY EXTERNAL, DRIVEN BY OIL PRICES, CURRENCY MOVEMENTS AND CAPITAL FLOWS THAT RESPOND AS MUCH TO GEOPOLITICS AS TO FUNDAMENTALS